The Quiet White-Collar Recession

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One release of Claude Mythos exposed thousands of zero-day vulnerabilities in 72 hours and convened the Treasury Secretary, Fed Chair, and six Wall Street CEOs at emergency speed. **No equivalent convening has happened for the 75 million white-collar workers whose roles carry AI task-coverage above 90%.** The displacement is slower, quieter, and structurally invisible to BLS aggregates until it is too late to reroute the cohort of 40 million students entering higher education this decade.

75M	20M	40M	72hrs
white-collar workers in the US facing 90%+ theoretical AI task coverage in their occupational categories	students enrolled in US higher education today, being trained for roles the AI task-layer is already absorbing	additional students projected to enter higher education in the next decade — into a labor market calibrated for 2019	the response window from Mythos disclosure to Treasury-Fed-Bank CEO emergency convening. The labor shock has no equivalent alarm

THE ZONE COLLAPSE: GPTS ARE GPTS

The foundational framing comes from Eloundou, Manning, Mishkin and Rock's landmark Science paper (2024): Generative Pretrained Transformers are General Purpose Technologies. Their finding inverted every prior automation wave.

Prior automation hollowed out the middle of the labor market from below. AI inverts this.

Exposure rises with occupational preparation. Job Zones 4 and 5 — bachelor's and graduate-level roles — are the most exposed. The opposite of what economists expected.

What this means structurally: Zones 2, 3, and 4 are collapsing toward a single contested tier.

LLMs carry embedded expertise across every domain. When a model can perform the high-skill subroutines of a Zone 3 analyst role — financial modelling, legal drafting, code review, data synthesis — the expertise premium that justified that role disappears. Autor and Thompson (NBER, 2025) show the mechanism: AI absorbs expert tasks, wages fall, and employment in the role shifts toward less-expert entrants. The Zone 4 specialist and the Zone 2 generalist are now competing for work the model used to justify paying both of them to do.

THE ANTHROPIC COVERAGE DATA

Anthropic's Economic Index — built on real Claude usage mapped to O*NET's 20,000 tasks across 800

THE SIGNAL IS ALREADY IN THE MICRODATA

The BLS aggregate headline shows nothing unusual. The ADP payroll microdata tells a different story:

- Ages 22–25 in the most AI-exposed occupations: −13% relative employment decline since late 2022 (Brynjolfsson, Chandar and Chen, Stanford, 2025)
- Software developers aged 22–25: −20% from their October 2022 employment peak
- New-graduate underemployment: 42.5%, highest since 2020 (NY Fed, 2025)
- Big Tech new-grad hiring: down more than 50% since 2019 (SignalFire, 2025)
- ServiceNow CEO Bill McDermott, March 2026: AI agents could send college-graduate unemployment above 30%

Why the headline data lags by 2 to 5 years:

- BLS OEWS smooths data across six semiannual panels over three years before release
- Brynjolfsson, Rock and Syverson's Productivity J-Curve shows GPT-era investment systematically understates measured output during deployment
- Census BTOS: only 4–7% of US firms report generative AI use in 2024. Payroll-survey detection requires 15–20% penetration

THE MYTHOS ASYMMETRY

Claude Mythos cyber risk	White-collar labor shock
Visible within 72 hours	Invisible for 2 to 5 years

occupations — is the most credible real-world measurement available:

- **Computer and Mathematical: 94.3% theoretical AI task coverage**
- Business and Financial Operations: 94.3%
- Management: 91.3%
- Office and Administrative Support: 90.0%
- Legal: 89.0%

Observed coverage is currently one-third of theoretical. Anthropic's own caption on the gap: 'the red area will grow to cover the blue.' The March 2026 paper introduces an explicit benchmark: a doubling of the top-quartile exposure unemployment rate from 3% to 6% would constitute a Great Recession for white-collar workers.

AI delivers 12x speedups on college-level tasks versus 9x on high-school-level tasks.

It is absorbing the high-skilled subroutines of jobs first. The net deskilling effect is measurable: Claude handles 14.4-education-year tasks while leaving behind 13.2-education-year tasks. The expertise premium collapses from the top, not the bottom.

Systemic risk: financial infrastructure	Systemic risk: 75M workers + 40M students
Treasury + Fed + 6 bank CEOs convened	No equivalent convening, no instrument
Emergency credits: $100M committed	Policy response: none at scale
Mythos disclosed April 7, 2026	Entry-level employment declining since 2022

THE EXPOSED POPULATION

BLS OEWS May 2024: 154.2M total US employed. Core white-collar categories sum to approximately 75 million — management (11.0M), business and financial (10.3M), office and admin (18.2M), sales (13.4M), computer and math (5.2M), engineering (2.6M), legal (1.2M), education (8.9M), arts and media (2.2M), social and community (4.0M).

Brookings (January 2026) identifies 6.1 million workers at the intersection of top-quartile AI exposure and bottom-quartile adaptive capacity — 86% female, concentrated in clerical and administrative roles.

NSCRC Fall 2025: 19.4 million enrolled in US postsecondary education. With 3.5 to 4 million first-time entrants annually, the cumulative inflow over the next decade approaches 40 million — the cohort being routed into occupations the AI task-layer is already compressing.

THE FRONTIER MODEL: A WORKFORCE INTELLIGENCE SYSTEM

The whitespace is a compact, purpose-built workforce intelligence model — a small language model fine-tuned on the fused data stack below. Its task is not chat. It is predictive routing: given a worker, a student, or a cohort, estimate displacement probability, identify the adjacent-skill destination with the strongest demand signal, and price the credential path.

Data inputs:

- O*NET 20,000 tasks × Eloundou β-scores × Anthropic observed coverage (quarterly, via AEI)
- Lightcast 1B+ job postings × 33,000-skill taxonomy — real-time demand signal per skill cluster
- Revelio Labs 1.1B+ career transitions — actual movement between roles, not projected
- CAREER-style labor sequence embeddings (Vafa et al., TMLR 2024) — transformer-modelled career paths across 24M+ workers

Who plugs in:

User	What they see
Enterprise	Workforce exposure map by role family. FDE candidate pool. Cost of displacement vs. reskilling.
University	Major-to-occupation risk by field. Student routing before graduation. Curriculum gap by department.
Government — federal	National exposure by occupation and region. Reskilling investment prioritisation. WIOA programme targeting.
Government — state	State-level displacement forecast. Community college partnership targeting. Workforce board routing logic.
City / county / municipality	Local employer concentration risk. Trades and adjacent-role pipeline. Resident routing to available credential paths.

- NCES and IPEDS education pipelines — major-to-occupation crosswalks, enrollment by institution and field
- ETS student data and durable-skill diagnostic outputs — friction score, readiness index, adaptive capacity per individual
- Revature placement outcome data — 30,000+ cohort outcomes linking intake signals to deployment, bench rate, and conversion

Six computed signals per individual:

- Exposure score: share of role's O*NET task surface covered by AI (0–100, updated quarterly from AEI)
- Friction score: adaptive capacity under AI-driven role change, derived from ETS durable-skill diagnostic
- Readiness index: current demonstrated capability vs. AI-native to-be state for the role
- To-be state: role's required capability profile in 12–18 months, from JD upload + client roadmap + market scan
- Delta: gap between readiness and to-be state, decomposed across 12 FDE situations as a heatmap
- Path to new jobs: adjacent role routing when delta is too large to close through upskilling alone

Individual	Personal exposure score. Friction and readiness index. Three adjacent paths ranked by demand signal and credential cost.

The governing loop runs quarterly. The Anthropic Economic Index updates exposure scores. ETS produces a cohort outcome report. Galent updates gap analysis weights based on which delta profiles led to successful deployment. Revature updates admission thresholds. NobleReach routes mission-pathway outcomes back into the model. Every cohort improves the next one's routing accuracy.

The standard frame is a 10-year productivity tailwind story. The Anthropic frame is a 24-month unemployment-doubling story for the most exposed quartile. Both may be true sequentially.

The decisive variable is not whether displacement happens. It is whether it becomes visible before 40 million students are routed into disappearing roles.

The Mythos response proved that US leadership can act in days when the threat is legible. The task is to make this threat legible before the ADP microdata becomes the BLS headline.

Building this model is the cheapest insurance policy against the quietest recession in American history.

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